



the stock markets in reaction to short-term drops you run the greater risk of missing out on the more productive and profitable days.

The idea that investors are not risk averse but loss averse is one of the main tenets of behavioural finance. While the distinction might seem trivial, studies have shown that investors will increase their risk, defined in terms of uncertainty, to avoid the smallest probability of loss. It is not so much that people hate uncertainty, but rather that they hate losing.



Sunk Cost Fallacy

- 1. Investor:** *I have invested in Sterlite Optic. It is a great stock. I have read about the telecom boom and I am sure this is right.*

Broker: *The telecom craze has ended, there is overcapacity and the story is over. The stock is going down as the industry fundamentals have changed.*

Investor: *So what, I will buy more and bring down my cost of purchase. I know it was a great stock. Please buy 2000 Sterlite Optic.*
- 2. Housewife:** *I thought investing was fun so I enrolled for these classes. I think I have made a mistake as I feel I am not cut out for this. But I will complete the course as I have already paid the fees and they don't have a refund policy.*
- 3. Student:** *I am not interested in commerce.. I took it because I wanted to be with my friends. I know I have made a big mistake. But since I have already completed three years, I would rather complete the rest and take the degree.*
- 4. Businessman:** *In the last two years I have spent so much money on car repairs, I would have been better off buying a new one.*